



BEFORE

In 1948 the state of Israel was created from land belonging to the Arab state of Palestine. The oil-rich Arab nations denied Israel's legitimacy and began a series of military reprisals to regain the land.

FORMATION OF OAPEC

The Organization of Arab Petroleum Exporting Countries was founded in 1968. Its member states, which include Iran, Iraq, and Saudi Arabia, were all developing nations seeking to assert their rights in a market dominated by foreign-owned multinational oil companies. As oil reserves in other parts of the world dwindled, OAPEC became increasingly powerful.

SIX-DAY WAR

In 1967 Egypt closed the Gulf of Aqaba to Israel. In the Six-Day War that ensued, **Israel** defeated **Egypt, Syria, and Jordan**, and occupied land later known as the **Occupied Territories**.

UNREST IN MIDDLE EAST

The territorial losses and humiliation of the Six-Day War intensified Arab resentment toward both the Israelis and the Western governments that supported them.



ISRAELI TANK IN SYRIA

The Oil Crisis

By the 1970s, rising industrial and domestic consumption of fuel created a growing dependence on imports of foreign oil for the industrialized Western powers. Oil was the fuel of the global economy and most of the world's oil reserves were concentrated in the Middle East.

In October 1973, Egypt and Syria, backed by Iraq, Jordan, and Saudi Arabia, invaded Israel on the holy Jewish holiday of Yom Kippur. The three-week Yom Kippur War represents a watershed in Middle Eastern history. With the element of surprise on their side and the advantage of improved arms, Arab troops fared better than in any previous Arab–Israeli conflict, gaining some of the territory lost during the Six-Day War (see BEFORE).

Oil supply cut

The Yom Kippur War also saw OAPEC flex its political muscle for the first time. Ten days into the war, OAPEC leaders King Faisal of Saudi Arabia and Egyptian President Anwar Sadat

announced an embargo on shipments of crude oil to all Western nations that were providing supplies or aid to Israel. The embargo lasted six months—from October 1973 until March 1974. Its aim was to force Israel's allies to pressure it into giving up the occupied territories (see BEFORE).

The embargo targeted Israel's key ally, the US, but did not apply to all European nations. The Netherlands, which sent arms to Israel and allowed the US to use Dutch airfields for supply runs, faced a complete embargo. Supplies to the UK and France, which had embargoed arms and supplies to both Arabs and Israelis, were not cut off. However, the economic impact of restricting the flow of crude oil to the world market caused



Yom Kippur war

The Israeli army attacks Syrian positions in the Golan Heights on October 12, 1973. Six days earlier, the Syrians had invaded Israel, but they were quickly driven back beyond their own border.

oil prices to triple. Even if countries were not embargoed from receiving oil, many could not afford to buy it in anything like the same quantities. Without fuel to power production,

Fuel shortage

An American gas station attendant ensures that motorists receive just their allocated ration of 10 gallons of gasoline per car during the oil crisis of 1973–74. The OAPEC oil embargo caused fuel shortages and a massive rise in fuel prices in the US, Europe, and Japan.

